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Houston Mortgage Broker

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Owners

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Welcome to The Homeownership Community's Complete Real Estate Investing FAQ — your definitive resource for building wealth through real estate. Whether you're a first-time investor wondering where to start, or an experienced landlord looking to scale, this guide answers the questions we hear most from clients across Texas, Louisiana, Georgia, and Illinois.

Brandon Bee Dixon — Houston Mortgage Broker, NMLS #1541210 — has helped hundreds of families go from renters to owners to investors. Every answer in this guide is grounded in real-world experience helping real people build real wealth.



SECTION 1

Getting Started

Q1. What is real estate investing and why should I consider it?

Real estate investing means purchasing property to generate income, build equity, or both. Unlike stocks, real estate gives you a tangible, leveraged asset — you can control a \$300,000 property with as little as \$30,000 down. Benefits include monthly cash flow, long-term appreciation, tax advantages, and inflation protection. For many families, it's the most accessible path to generational wealth.

Q2. How much money do I need to start investing in real estate?

It varies by strategy. A conventional investment property typically requires 15–25% down. However, house hacking with an FHA loan can get you started for as little as 3.5% down. Some investors start with \$10,000–\$20,000; others use creative financing with little to no cash upfront. The key is understanding your options before assuming you can't afford to start.

■ **Pro Tip:** A free consultation with Brandon Bee Dixon can help you find the right entry point based on your current finances.

Q3. Do I need to own my own home before investing in real estate?

No — but it helps. Owning your primary home builds equity you can later leverage through cash-out refinancing or HELOCs to fund investments. That said, many successful investors skip primary homeownership and go straight to rental properties. Both paths are valid depending on your financial situation and goals.

Q4. What's the difference between active and passive real estate investing?

Active investing means you're directly involved — finding deals, managing tenants, handling repairs (e.g., buy-and-hold rentals, house flipping). Passive investing means others do the work — you provide capital (e.g., REITs, syndications, private lending). Active investing typically generates higher returns; passive offers more convenience. Most beginners start active and shift toward passive as they scale.

Q5. What are the most common real estate investment strategies?

The most popular include: Buy and Hold (long-term rentals for cash flow + appreciation), House Hacking (live in one unit, rent others), Fix and Flip (buy distressed, renovate, sell for profit), BRRRR (Buy, Rehab, Rent, Refinance, Repeat), Short-Term Rentals (Airbnb/VRBO), Commercial Real Estate, and Real Estate Syndications. Each has different risk/reward profiles.

Q6. Is real estate investing risky?

All investing carries risk, but real estate is generally lower volatility than stocks. Risks include vacancy, bad tenants, unexpected repairs, market downturns, and over-leveraging. The most successful investors manage risk through thorough due diligence, adequate reserves (3–6 months of expenses), proper insurance, and not over-extending their capital.

Q7. What is 'house hacking' and how does it work?

House hacking means buying a multi-unit property (duplex, triplex, or fourplex), living in one unit, and renting the others. Tenants' rent covers your mortgage — sometimes entirely. You can use an FHA loan with just 3.5% down since it's your primary residence. It's one of the fastest ways to start building real estate wealth with minimal cash and is especially powerful in markets like Houston.

SECTION 2

Financing & Loans

Q8. What types of loans are available for investment properties?

Options include: Conventional loans (15–25% down, best rates for qualified borrowers), FHA loans (3.5% down for primary residence/house hack), Portfolio loans (non-QM, flexible guidelines), DSCR loans (based on rental income, not your personal income), Hard money loans (short-term, for flips), and HELOCs/cash-out refinances on existing equity. Brandon Bee Dixon can match you with the right product for your specific strategy.

Q9. How does my credit score affect investment property financing?

Investment property loans generally require a minimum 620 credit score, though the best rates go to borrowers above 740. Each 20-point improvement in your score can meaningfully lower your interest rate and monthly payment. If your score needs work, there are strategies to improve it in 90–180 days. Don't let a lower score stop you — ask about your options.

Q10. What is a DSCR loan and who is it for?

A Debt Service Coverage Ratio (DSCR) loan qualifies you based on the property's rental income rather than your personal income. If the rent covers the mortgage payment ($\text{DSCR} \geq 1.0$ –1.25), you can qualify even with limited personal income documentation. This is a game-changer for self-employed investors, freelancers, or those with complex tax returns. Perfect for scaling a rental portfolio quickly.

Q11. What is a cash-out refinance and how can it accelerate portfolio growth?

A cash-out refinance replaces your existing mortgage with a larger loan, giving you the difference in cash. If your home is worth \$400,000 and you owe \$200,000, you might pull out \$100,000 tax-free to use as a down payment on an investment property. This is one of the most powerful wealth-building tools available — using your existing equity to buy more assets without selling anything.

Q12. Can I use an FHA loan to buy an investment property?

Not directly — FHA loans are for primary residences. However, the house hacking strategy allows you to buy a 2-4 unit property with FHA financing (3.5% down), live in one unit, and rent the others. This is technically a primary residence loan used for investment purposes — 100% legal and one of the most popular investor strategies.

Q13. How many investment properties can I finance?

Conventional guidelines allow financing up to 10 properties per borrower. Beyond that, portfolio loans, commercial financing, and entity-based lending (LLC loans) are options. The key is managing your debt-to-income ratio and maintaining adequate reserves for each property. Planning your financing strategy from the start makes scaling much smoother.

Q14. Should I buy investment properties in my own name or an LLC?

Both have pros and cons. Personal name: easier financing, lower rates. LLC: liability protection, potential tax benefits, harder to finance conventionally. Many investors start in their personal name, then transfer to an LLC or buy new properties via LLC using portfolio/commercial lending. Consult a real estate attorney for your specific situation.

SECTION 3

Investment Strategies

Q15. What is the BRRRR strategy?

BRRRR stands for Buy, Rehab, Rent, Refinance, Repeat. You purchase a distressed property below market value, renovate it to increase value, rent it out, then do a cash-out refinance to recover most or all of your initial capital — which you then use to buy the next property. Done correctly, it allows you to scale a portfolio while recycling the same capital repeatedly.

Q16. Should I invest in single-family homes or multi-family properties?

Single-family homes are easier to finance, attract stable long-term tenants, and are easier to sell. Multi-family properties generate more income per asset, spread vacancy risk across multiple units, and are valued based on income (giving you more control over appreciation). Most beginners start with single-family; experienced investors often prefer multi-family for scale and cash flow.

Q17. Is short-term rental (Airbnb/VRBO) investing worth it?

Short-term rentals can generate 2–3x the income of long-term rentals in the right market. However, they require more active management, have higher operating costs, and face increasing regulation in many cities. Houston has relatively STR-friendly regulations. Research local ordinances, competition, and seasonality before committing.

Q18. What is wholesaling and is it a good strategy for beginners?

Wholesaling involves finding deeply discounted properties, getting them under contract, and selling the contract to another buyer for a fee — typically \$5,000–\$30,000 — without ever owning the property. It requires little to no capital but demands strong marketing and negotiation skills. It's a great way to learn the market and generate quick cash to fund future investments.

Q19. What is appreciation vs. cash flow and which should I prioritize?

Appreciation is the increase in property value over time. Cash flow is the monthly profit after all expenses. High-appreciation markets often have low cash flow; high-cash-flow markets may appreciate more slowly. The ideal investment offers both. Many Houston-area markets provide strong cash flow with solid appreciation — a rare combination in major metros.

Q20. Should I invest locally or out-of-state?

Local investing is easier to manage and you know the market. Out-of-state investing opens access to better cash flow or appreciation opportunities. If investing remotely, build a reliable team: local property manager, contractor, and real estate agent. Many investors start locally, prove the model, then expand. Houston is a frequent target for out-of-state investors — meaning local investors have a built-in advantage.

SECTION 4

Markets & Location

Q21. Is Houston a good market for real estate investors?

Absolutely. Houston is one of the top real estate investment markets in the country: no state income tax, no traditional zoning laws (unique in the U.S.), diverse economy (energy, medical, aerospace, port), consistent population growth, and strong rental demand. Cash flow is achievable in many submarkets, and entry prices remain affordable compared to coastal cities.

Q22. What are the best Houston-area neighborhoods for investment?

It depends on your strategy. For cash flow: Acres Homes, Sunnyside, Missouri City. For appreciation: East End, EaDo, Midtown, Montrose. For balanced returns: Katy, Pearland, Sugar Land, League City, Humble. Multi-family investors often target areas near the Texas Medical Center or Energy Corridor. Always analyze the specific numbers — neighborhood reputation alone doesn't make a deal work.

Q23. What markets does Brandon Bee Dixon serve?

Brandon is licensed to originate investment property loans in Texas, Louisiana, Georgia, and Illinois. Whether you're investing in the Houston metro, New Orleans, Atlanta suburbs, or Chicago-area markets, he can help structure your financing — and provide market insight from an investor-focused perspective.

Q24. Does Houston's flood risk affect real estate investing?

Flood risk is a real consideration in Houston. Always check FEMA flood maps and the property's flood zone designation, review the seller's disclosure for previous flood history, and factor flood insurance costs into your analysis. Many profitable investment properties exist outside high-risk flood zones — and some investors specialize in flood-affected properties as a discount opportunity.

Q25. How do I analyze whether a real estate market is a good investment?

Key indicators: population growth (more people = more demand), job growth and employer diversity, rent-to-price ratios (aim for 0.8–1%+), vacancy rates (lower is better), days on market (lower = seller's market), and landlord-friendly laws. Texas consistently scores well across all of these metrics.

SECTION 5

Property Management

Q26. Should I self-manage my rental or hire a property manager?

Self-managing saves the 8–12% property management fee but costs time and requires availability for tenant issues. Professional management makes sense if you have multiple properties, invest out-of-state, or value your time highly. For your first property, self-managing provides invaluable education. Budget for management costs either way — plan to scale eventually.

Q27. How do I find and screen good tenants?

A solid screening process includes: credit check (aim for 620+), income verification (gross income should be 3x monthly rent), rental history check (call previous landlords), background check, and a completed rental application. Never skip screening to fill a vacancy faster — a bad tenant costs far more than a month of vacancy. Always follow Fair Housing laws.

Q28. How much should I budget for repairs and maintenance?

A common rule: budget 1% of property value per year for maintenance (\$2,000/year on a \$200,000 property). For older properties or aging systems, budget 1.5–2%. Always maintain a cash reserve of 3–6 months of expenses per property. Deferred maintenance is the #1 way small landlords get into financial trouble — stay proactive.

Q29. What happens if a tenant stops paying rent?

First, communicate early and explore a payment plan if the tenant has a track record of on-time payment. If unresolved, Texas law requires a written 3-day notice to vacate, followed by a formal eviction filing. The process typically takes 3–6 weeks in Texas — one of the faster states for landlords. Having an eviction attorney on standby and requiring a security deposit from day one minimizes exposure.

Q30. What insurance do I need for a rental property?

At minimum: landlord insurance (also called dwelling fire insurance), which covers the structure, liability, and lost rental income. Unlike standard homeowners insurance, it's designed for non-owner-occupied properties. If the property is in a flood zone, add flood insurance. Consider an umbrella policy (\$1M+ liability) once you have multiple properties. Require tenants to carry renter's insurance.

SECTION 6

Taxes & Legal

Q31. What tax advantages do real estate investors have?

Real estate offers powerful tax benefits including: depreciation (deduct 1/27.5th of the property value annually), mortgage interest deduction, deductions for repairs, property management, insurance, and travel. A cost segregation study can accelerate depreciation significantly. These deductions can offset rental income and, for qualifying investors, even W-2 income. Consult a CPA who specializes in real estate.

Q32. What is a 1031 exchange?

A 1031 exchange allows you to sell an investment property and defer capital gains taxes by rolling the proceeds into a like-kind replacement property. You have 45 days to identify replacement properties and 180 days to close. Done correctly, investors can build massive portfolios while deferring taxes indefinitely — and potentially eliminating them at death through the stepped-up basis.

Q33. What is depreciation and how does it reduce my tax bill?

The IRS allows you to deduct the 'wear and tear' of a residential rental property over 27.5 years. On a \$275,000 property (land excluded), that's \$10,000/year in depreciation — a non-cash deduction that reduces your taxable income even if the property is actually appreciating. This is one of the most powerful tax benefits in real estate and a key reason it builds wealth faster than many other asset classes.

Q34. Do I need to pay capital gains tax when I sell an investment property?

Yes — unless you use a 1031 exchange. Short-term capital gains (owned less than 1 year) are taxed at ordinary income rates. Long-term capital gains (owned 1+ year) are taxed at 0%, 15%, or 20% depending on income. You may also owe depreciation recapture tax (25%). Strategic planning with a real estate CPA can minimize these significantly.

Q35. Should I hold investment properties in an LLC?

LLCs offer liability protection — if a tenant sues, your personal assets are generally shielded. However, most conventional lenders won't lend to LLCs, requiring portfolio or commercial loans at higher rates. Many investors hold properties personally with an umbrella insurance policy and transition to LLC ownership as they scale. Always consult a real estate attorney before structuring your holdings.

Q36. What records should I keep as a real estate investor?

Keep records of: all income (rent collected), all expenses (repairs, management fees, insurance, mortgage interest, property taxes, travel), capital improvements, lease agreements, tenant communications, and maintenance requests. Use accounting software like QuickBooks or REI-specific tools like Stessa. Good records make tax filing easier and protect you in an audit.

Q37. What is the difference between repairs and capital improvements for tax purposes?

Repairs (fixing a broken toilet, patching a roof, painting) are deducted in the year they occur. Capital improvements (new roof, HVAC replacement, major renovation) must be capitalized and depreciated over time. The distinction isn't always obvious — your CPA can help classify expenses correctly and maximize your current-year deductions while staying IRS-compliant.

Ready to Start Building Wealth Through Real Estate?



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Schedule your FREE, no-obligation consultation today. Brandon Bee Dixon will review your financial situation, discuss your investment goals, and map out the best path to your first — or next — investment property. **[QR CODE]**

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